INTRODUCTION

It is essential for analysts to understand the industry context for a company's financial performance and its evaluation. For example, is a company's revenue growth driven by a macroeconomic or industry-wide factor (such as an economic expansion) or a company-specific factor (such as increasing market share)? The answer has important implications for forecasting and valuation.

In this learning module, we discuss how an industry is defined and address the challenges associated with grouping companies that operate in multiple industries. Next, we introduce methods to survey an industry in terms of size, profitability, and market share trends. Further analysis includes frameworks to interpret a competitive environment using Porter's Five Forces and external trends using PESTLE analysis. Finally, we combine these approaches to understand a company's competitive strategy and its position relative to its industry peers.

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Category
Industry and Competitive Analysis

Learning Module Overview

- Analysts use industry and competitive analysis to understand an industry's structural factors, relative competitive strengths and weaknesses, and their contribution to a company's economic profits.
- An analyst's first step in an industry and competitive analysis is to define the boundaries of the industry in question and its constituents. Industries are commonly defined as companies that sell similar products or services. However, this definition can be challenging to apply in practice, as companies can sell diverse products or services across many industries and product similarity is subjective.
- To define an industry, analysts can use third-party classification systems such as GICS but need to be aware of the methodologies and limitations of these systems.
- After defining the industry, the analyst surveys the industry by estimating its total annual sales, historical growth rate, and profitability metrics and then determining market shares and trends of key players.
- Industry metrics can be compared against broader economic trends during recessions or expansions to determine the industry's level of maturity, sensitivity to business cycles, and competitive rivalry.
- Analysts use Porter's Five Forces to understand an industry's structure, as defined by the level of competitive rivalry, through an assessment of the threat of new entrants, the threat of substitutes, customer bargaining power, and the bargaining power of suppliers.
- To supplement this research, analysts use PESTLE analysis to understand the external influences on and potential changes to an industry's growth rate and market share dynamics.
- To evaluate a company's competitive strategy, an analyst should determine whether the strategy creates a defense against industry forces and is aligned with the external forces acting on the industry, and whether the company has the resources and capabilities necessary to execute it.

Learning Module Self-Assessment

understanding of this learning module.

1. When assigning a company to an industry, which of the following is a limitation of using third-party industry classification schemes?

A. Currency differences
B. Single-product companies
C. Strictly hierarchical taxonomies

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Solution:

C is correct. Commercial classification schemes such as GICS, IBC, and TRBC are examples of strictly hierarchical taxonomies that classify a company to a single group, regardless of whether the company sells multiple types of products or services.

2. A factor that determines sensitivity to the business cycle is *most likely*:

A. customer migration to substitute products.
B. interest rate exposure of the business model.
C. growth rates in line with broader economic activity.

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Solution:

B is correct. Factors that determine sensitivity to the business cycle include the degree to which sales are discretionary or necessary for consumers, pricing power, the interest rate exposure of the business model, and whether the product is a durable or capital good versus a recurring purchase such as consumables and subscription services.

A and C are incorrect, as they reflect features of a mature industry but are not necessarily more cyclical.

3. A common measure of industry concentration is:

A. Porter's Five Forces.
B. the PESTLE framework.
C. the Herfindahl-Hirschman Index.

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Solution:

C is correct. The Herfindahl-Hirschman Index (HHI) is a common measure of industry concentration that is calculated as the sum of the squares of competitor market shares. Porter's Five Forces model evaluates an industry's level of competitive rivalry and profitability. The PESTLE framework is more concerned with an industry's growth rate and market share dynamics.

4. Identify the following statement as true or false. Justify your answer.

Some of the forces included in Porter's Five Forces framework are the threat of new entrants, sensitivity to the business cycle, and the bargaining power of customers.

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Solution:

False. Porter's Five Forces model uses the threat of substitutes, the threat of new entrants, the bargaining power of customers, and the bargaining power of

5. The price competition historically demonstrated by automakers and aircraft manufacturers is *best* described as an example of:

A. the threat of substitutes.
B. the bargaining power of suppliers.
C. the rivalry among existing competitors.

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Solution:

C is correct. Despite relatively low risks from the other Five Forces, automakers and aircraft manufacturers compete fiercely on price, offering promotions and generous financing and warranty terms in an attempt to capture every sale.

6. Standardization of a product will _____ (increase/decrease/have no effect on) the bargaining power of customers.

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Solution:

Standardization of a product will *increase* the bargaining power of customers. For example, oil refiners pay for crude oil based on its grade, not on its specific oil producer; crude oil within a grade is interchangeable.

7. Impression Ltd. is a fictional company that designs, manufactures, and sells skin care and beauty products. A PESTLE analysis for Impression Ltd. would *most likely* identify which of the following?

A. A customer of Impression Ltd., a large e-commerce retailer, is acquiring a private-label manufacturer of skin care products.
B. Increased discussion by legislatures around instituting an excise tax on disposable plastic packaging as part of a package of carbon taxes
C. An online, direct sales competitor has launched a suite of photo filters that integrate with leading social media apps based on its beauty products.

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Solution:

B is correct. PESTLE analysis is concerned with identifying and evaluating *external* forces on an industry, which include political forces such as a packaging tax. A and C are incorrect, as they are competitor moves within the beauty industry.

8. As a venture capital investor, you are on the board of Ridge Inc., a fictional company that is entering the auto industry, which is characterized by high capital intensity, minimal switching costs for customers because regulations require standardization of many features, and price consciousness of customers except among a relatively small percentage of affluent consumers.

Based on these observations, recommend and justify a competitive strategy to the rest of Ridge Inc.'s board.

Hide Solution

Solution:

A cost leadership strategy is one competitive strategy that might be successful for Ridge Inc. Since most customers are price conscious and face minimal switching costs between automakers or models, a low selling price can be an effective way to gain market share. Combined with high capital intensity, such a strategy might enable Ridge to operate at an economic profit if it produces and sells enough volume and maintains fixed-cost discipline to keep unit costs low.

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Discussion

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